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ASX falls to one-month low; CBA drops 2pc

Equities

Nicola Blackburn

The sharemarket closed at its lowest level in a month yesterday, after a hotter-than-expected jobs market and lacklustre earnings from bank and mining stocks weighed on the bourse.

The S&P/ASX 200 Index fell 1.2 per cent, or 96.40 points, to 8322.80. The All Ordinaries Index retreated 1.1 per cent. Seven of the 11 sectors were in the red, with losses led by the real estate sector as Goodman Group dragged.

Official data yesterday showed Australian employment increased by 44,000 over the month – more than expected – while the unemployment rate rose marginally to 4.1 per cent. While money markets implied little change to current forecasts for interest rate cuts, the index still fell more than 1.5 per cent on the news, before paring back some losses.

Chief Commsec economist Ryan Felsman said the strong labour force reiterated the need for the Reserve Bank of Australia's cautious approach to further rate cuts.

"The workforce participation rate jumped up to 67.3 per cent month on month, which is the highest level on record," he said. "The jobs data reaffirmed what [RBA governor] Michele Bullock has said, and she wants to see some evidence of weakness [in jobs]."

The data added to the bourse's woes after several index bellwethers posted disappointing earnings results.

News that ANZ's impaired loans rose in the first quarter added momentum to an ongoing sell-off in Australian banks. ANZ fell 3.1 per cent to $29.21, Westpac was down 3 per cent to $31.22 and NAB 3.3 per cent to $35.11.

Commonwealth Bank slipped 2 per cent to $155.73.

Fortescue's more than 50 per cent drop in profit prompted a sell-off, with the stock tumbling 6.2 per cent to $18.24. Rio Tinto lost 1.5 per cent to $120.09, after the miner said it would pay its lowest dividend in seven years and reported an 8 per cent drop in full-year profits. That spilled over to other miners, with the ASX's materials sector slipping 1.3 per cent.

Elsewhere, Goodman Group tumbled 5 per cent to $34.20. The property and industrials giant announced it had completed a $4 billion capital raising to turbocharge a workbook honing in on data centres.

Super Retail Group posted the largest loss on the index, plummeting 12.5 per cent to $14.17 amid concerns over the company's handling of a whistleblower report and falling earnings.

Telstra shares jumped 5.6 per cent to $4.14 after interim net profit rose 6.5 per cent to $1.03 billion on strong earnings from the group's mobile and infrastructure businesses.

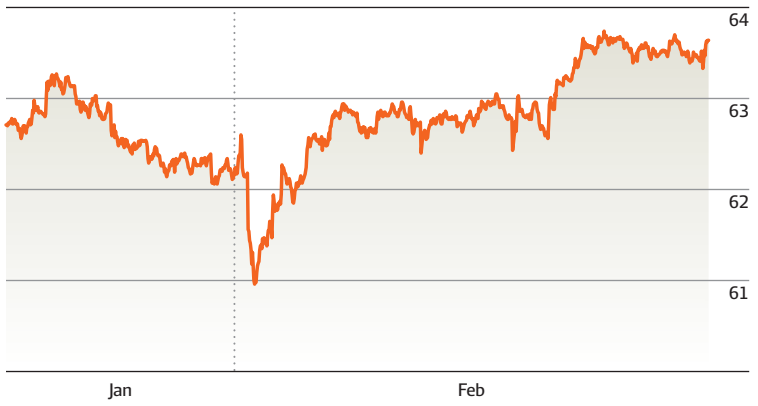
Magellan shares tumbled 10.1 per cent to $9.08 after the fund manager's profit fell 10 per cent, and it announced a plan to review its balance sheet management.

Aristocrat Leisure retreated 4.3 per cent to $75.13 after it announced a new share buyback program intended to raise up to $750 million.

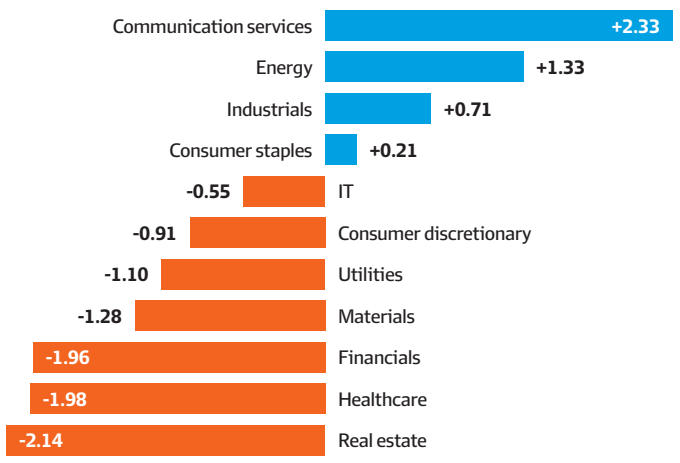
SHAREMARKET S&P/ASX 200 Index, past five days (points)



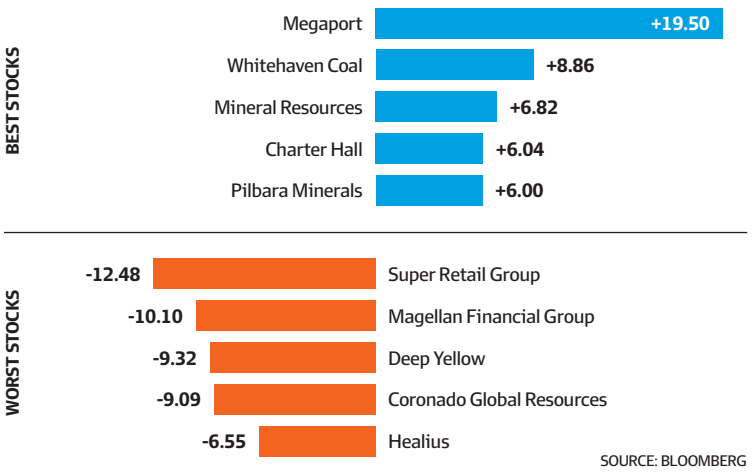
CURRENCIES $A/$US (US¢)



MARKETS Sector performance, Thursday (%)



COMPANIES Stock performance, Thursday (%)



SOURCE: BLOOMBERG

Why the market has got it wrong on Ozempic

Fundie Q&A

Joanne Tran

Wendy Herringer is a portfolio manager of Northcape Capital's global equities fund. The Sydney-based firm oversees about $14.5 billion in assets.

Shares in Ozempic maker Novo Nordisk have fallen more than 40 per cent since the highs of last year. Why are you still invested in this stock? | We believe the market is fundamentally overlooking the long-term potential of this name. Novo Nordisk's best years are yet to come. As a leader in diabetes care with over a century of history, Novo is one of the two frontrunners in the early stages of transforming a new therapeutic area in obesity, which has a global addressable market of 1 billion people. Novo has a decade-long lead over its competition in terms of capacity build-out, disease study and expanding coverage. The weakness in the stock in recent months presents an excellent buying opportunity, trading at 20 times forward price to earnings, with a very long runway for growth.

The fund owns Nvidia. Has the team adjusted the holding following the sharp sell-off triggered by DeepSeek? | We have had a long-term investment in Nvidia – a stock that we had in our portfolio at fund inception in 2019.

Despite the many unanswered questions regarding underlying costs and chip usage, we view DeepSeek as an evolutionary step in the early days of artificial intelligence, where hyperscalers and governments worldwide will continue to invest in better and more efficient models.

Nvidia is well positioned to be a beneficiary of this spend in our view, and we used the market reaction to top up our holding.

Which stock in the fund do you think is most undervalued by the market and why? | We believe that Informa, a global events leader, is significantly undervalued by the market. There are three key drivers that the market seems to be overlooking.

First, the margin recovery story is far from complete. During COVID-19, earnings before interest, tax and amortisation margins fell by 20 percentage points to 18 per cent, as events came to a grinding halt. While there has been some recovery, there is still a long runway for improvement as ticket prices are repriced.

Second, Informa's market position has only strengthened through COVID, as many smaller companies went bankrupt. This has allowed the company to gain a greater share with the balance sheet to further consolidate this fragmented market.

Finally, the publishing business is transitioning from a "pay to read" model to a "pay to publish" model and will further benefit from their AI investments. The market is not fully appreciating these attractive growth drivers that will boost the company's long-term growth rate.



A sell-off in Novo Nordisk shares hasn't deterred Northcape's Wendy Herringer from owning the pharmaceuticals giant. PHOTO: EAMON GALLAGHER

Which stock in the fund has the most near-term upside? | Clean Harbors stands out as a top idea for both the short and long term. It's the dirtiest stock we own, but we love it. As the largest hazardous waste disposal company in North America, it has an irreplaceable network of assets.

Strict permitting and environmental laws make it nearly impossible to replicate, granting them strong pricing power.

In the near term, Clean Harbors has attractive upside potential, especially after the recent extension of one of its incinerators in Nebraska, adding new state-of-the-art capacity. This potential is further enhanced by the anticipated $2 trillion in US infrastructure spending over the coming years, generating more hazardous waste.

What's your take on investing in the current economic environment? | While there is always something that could keep me up at night, apart from my children, I tend to adopt a "glass half full" perspective, seeing market worry as an opportunity.

I am mindful of risk and how economic cycles affect earnings. One standout is the high valuation and earnings expectations in the US that could create greater downside risk, especially with Donald Trump's stream of executive orders that are not all market friendly and likely to create increased volatility and global tensions.

Our process remains focused on identifying exceptional global businesses with strong industry positions and secular growth drivers that can deliver smoother and higher earnings across different economic environments.

Are there any podcasts that you'd recommend? | I have recently discovered my new favourite podcast, *Equity Mates*. It has some excellent stock debates and other topical discussions.

What is your favourite local bar/restaurant? | Having moved from London two years ago, I love a casual and outdoor restaurant that showcases Sydney's natural beauty. For me, The Newport in Sydney's northern beaches offers all of that and more.